7

Longevity Is a Blessing and a Risk

> *"…According to the National Centre for Health Statistics, in mid-2007, life expectancy in the U.S. was 77.8 years, so I should plan for about 15 years of retirement…."*
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> Myth #7

The 77.8 number is quite true and one often reads that at the end of the 20th century, life expectancy in the U.S. hit a record high of approximately 73.6 years for males and 79.2 years for females. Based on statistics from the Social Security Administration (SSA), which apply to the U.S. population in its entirety, these numbers have been steadily increasing over time: In 1950 the respective values were 65.6 for males and 71.1 for female. Yet, you might wonder why there is all the fuss about financing a long period of retirement. Yes, people are living longer compared to fifty years ago and they are living healthier, as the recent headlines indicate, such as those shown in Figure 7.1. But can saving enough money during your working years to generate an average of 10 to 15 years of income be that onerous?

Of course, most financial professionals will see through my straw man fallacy and know that these numbers do not apply to their healthier and wealthier clients. More critically, these numbers apply only at birth, not at retirement, and do not account for any possible reductions in future mortality. They are based on today's death and survival rates.

If you are a 75-year-old-male or -female, your life expectancy is much higher than at age zero. In this case, using the same SSA